

**RADICAL
BUSINESS
MODEL
INNOVATION**

Apple's iTunes and iPod systems, which changed the music industry.

**RADICAL
PRODUCT
INNOVATION**

White LED (light-emitting diode) lighting that led to a shift in energy efficiency.

**INCREMENTAL
BUSINESS MODEL
INNOVATION**

Rolls Royce's after-sales support that emphasized service and support.

**INCREMENTAL
PRODUCT
INNOVATION**

The first flat beds on transatlantic business class airline routes.

**Types of
innovation**

**INCREMENTAL
PROCESS
INNOVATION**

NHS Direct in the UK, which began offering health advice over the telephone.

**INCREMENTAL
MARKET
INNOVATION**

Low-cost single-use shampoo packets for low-income Indian households.

**RADICAL
PROCESS
INNOVATION**

Online banking and insurance made the delivery of financial services automatic and cheaper.

**RADICAL
MARKET
INNOVATION**

Low-cost airlines that made flying available to a whole new market of flyers.